contingent, and cost-effective. Regulations that apply comprehensively to all levered financial institutions are less likely to encourage the drift of activities from heavily regulated to lightly regulated institutions over the boom, a source of instability since the damaging consequences of such drift come back to hit the heavily regulated institutions in the bust, through channels that no one foresees.

Regulations should also be contingent so they have maximum force when the private sector is most likely to do itself harm but bind less the rest of the time. This will make regulations more cost-effective, which will make them less prone to arbitrage or dilution.

Consider some examples of such regulations. First, instead of asking institutions to raise permanent capital, ask them to arrange for capital to be infused when the institution or the system is in trouble. Because these 'contingent capital' arrangements will be contracted in good times when the chances of a downturn seem remote, they will be relatively cheap (compared to raising new capital in the midst of a recession) and thus easier to enforce. Also, because the infusion is seen as an unlikely possibility, firms cannot go out and increase their risks, using the future capital as backing. Finally, because the infusions come in bad times when capital is really needed, they protect the system and the taxpayer in the right contingencies.

One version of contingent capital is for banks to issue debt which would automatically convert to equity when two conditions are met; first, the system is in crisis, either based on an assessment by regulators or based on objective indicators, and second, the bank's capital ratio falls below a certain value. The first condition ensures that banks that do badly because of their own idiosyncratic errors, and not when the system is in trouble, don't get to avoid the disciplinary effects of debt. The second condition rewards well-capitalized banks by allowing them to avoid the forced conversion